RUSAL

United Company RUSAL, International public joint-stock company

Consolidated Interim Condensed Financial Statements for the six-month period ended 30 June 2024

Contents

NEW CHALLENGES
NEW SOLUTIONS

ООО «ЦАТР – аудиторские услуги»
Россия, 115035, Москва
Садовническая наб., 75
Тел.: +7 495 705 9700
+7 495 755 9700
Факс: +7 495 755 9701
ОГРН: 1027739707203
ИНН: 7709383532
ОКПО: 59002827
КПП: 770501001

TSATR – Audit Services LLC
Sadovnicheskaya Nab., 75
Moscow, 115035, Russia
Tel: +7 495 705 9700
+7 495 755 9700
Fax: +7 495 755 9701
www.b1.ru

Report on Review of Consolidated Interim Condensed Financial Statements

To the Board of Directors of
International public joint-stock company
United Company RUSAL

Introduction

We have reviewed the accompanying consolidated interim condensed financial statements of International public joint-stock company United Company RUSAL and its subsidiaries (the "Group"), which comprise the consolidated interim condensed statement of financial position as at 30 June 2024 and the related consolidated interim condensed statements of income, comprehensive income, changes in equity and cash flows for the six-month period then ended, and notes to the consolidated interim condensed financial statements ("the consolidated interim condensed financial statements"). The Rules Governing the Listing of Securities on the Stock Exchange of Hong Kong Limited require the preparation of a report of consolidated interim condensed financial statements to be in compliance with the relevant provisions thereof and International Accounting Standard 34 *Interim Financial Reporting* ("IAS 34"). Management of the Group is responsible for the preparation and presentation of this consolidated interim condensed financial statements in accordance with IAS 34, *Interim Financial Reporting*. Our responsibility is to express a conclusion on these consolidated interim condensed financial statements based on our review.

Scope of review

We conducted our review in accordance with International Standard on Review Engagements 2410, *Review of Interim Financial Information Performed by the Independent Auditor of the Entity*. A review of consolidated interim condensed financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with International Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our review, nothing has come to our attention that causes us to believe that the accompanying consolidated interim condensed financial statements are not prepared, in all material respects, in accordance with IAS 34, *Interim Financial Reporting*.

NEW CHALLENGES
NEW SOLUTIONS

Emphasis of matter

We draw attention to Note 1 to the consolidated interim condensed financial statements as at 30 June 2024, which indicates that the geopolitical tensions and sanctions imposed by a range of countries, accompanied by the volatility of commodity, stock and currency markets, may significantly affect operational, investing and financing activity of the Group. As stated in Note 1, these events or conditions, along with other matters as set forth in Note 1 to the consolidated interim condensed financial statements, indicate that material uncertainty exists that may cast significant doubt about the Group's ability to continue as a going concern. Our conclusion is not modified in respect of this matter.

Mikhail Sergeyevich Khachaturian
Partner
TSATR – Audit Services Limited Liability Company

28 August 2024

Details of the auditor

Name: TSATR – Audit Services Limited Liability Company
Record made in the State Register of Legal Entities on 5 December 2002, State Registration Number 1027739707203.
Address: Russia 115035, Moscow, Sadovnicheskaya naberezhnaya, 75.
TSATR – Audit Services Limited Liability Company is a member of Self-regulatory organization of auditors Association "Sodruzhestvo". TSATR – Audit Services Limited Liability Company is included in the control copy of the register of auditors and audit organizations, main registration number 12006020327.

Details of the entity

Name: International public joint-stock company United Company RUSAL
Record made in the State Register of Legal Entities on 25 September 2020, State Registration Number 1203900011974.
Address: Russia 236006, Kaliningrad, Oktyabrskaya street, 8, office 410.

		Six months ended 30 June	
		2024 (unaudited)	**2023 (unaudited)**
	Note	**USD million**	**USD million**
Revenue	5	**5,695**	**5,945**
Cost of sales	6(a)	(4,385)	(5,217)
Gross profit		**1,310**	**728**
Distribution expenses	6(b)	(363)	(351)
Administrative expenses	6(b)	(290)	(290)
Impairment of non-current assets	6(b)	(96)	(67)
Provision for expected credit losses	6(b), 11(a)	(10)	5
Net other operating expenses	6(b)	(111)	(58)
Results from operating activities		**440**	**(33)**
Finance income	7	242	269
Finance expenses	7	(176)	(270)
Share of profits of associates and joint ventures	10	223	303
Profit before taxation		**729**	**269**
Current income tax expense	8	(63)	(134)
Deferred income tax credit/(charge)	8	(101)	285
Income tax credit/(charge)		**(164)**	**151**
Profit for the period		**565**	**420**
Attributable to Shareholders of the Company		565	420
Profit for the period		**565**	**420**
Earnings per share			
Basic and diluted earnings per share (USD)	9	0.0372	0.0276
Adjusted EBITDA	4, 6(c)	786	290

The Consolidated Interim Condensed Statement of Income is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 28.

	Note	Six months ended 30 June 2024 (unaudited) USD million	Six months ended 30 June 2023 (unaudited) USD million
Profit for the period		**565**	**420**
Other comprehensive income or loss			
Items that will never be reclassified subsequently to profit or loss			
Actuarial loss on post retirement benefit plans	14	(2)	(5)
		(2)	**(5)**
Items that are or may be reclassified subsequently to profit or loss			
Foreign currency translation differences on foreign subsidiaries		197	(537)
Foreign currency translation differences for equity-accounted investees	10	187	(910)
		384	**(1,447)**
Other comprehensive income or loss for the period, net of tax		**382**	**(1,452)**
Total comprehensive income or loss for the period		**947**	**(1,032)**
Attributable to:			
Shareholders of the Company		947	(1,032)

There was no significant tax effect relating to each component of other comprehensive income or loss.

The Consolidated Interim Condensed Statement of Comprehensive Income is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 28.

	Note	30 June 2024 (unaudited) USD million	31 December 2023 USD million
Assets			
Non-current assets			
Property, plant and equipment and investment properties		6,071	5,806
Intangible assets		2,327	2,337
Interests in associates and joint ventures	10	5,195	4,521
Deferred tax assets		169	229
Derivative financial assets	15	4	13
Investments in equity securities measured at fair value through profit or loss	11(f)	335	339
Other non-current assets	11(e)	232	277
Total non-current assets		**14,333**	**13,522**
Current assets			
Inventories		3,861	3,599
Short-term investments	11(g)	107	125
Trade and other receivables	11(a)	1,585	1,154
Prepayments and input VAT	11(b)	749	538
Current income tax receivables		12	8
Dividends receivable		–	412
Derivative financial assets	15	60	19
Cash and cash equivalents		1,325	2,087
Total current assets		**7,699**	**7,942**
Total assets		**22,032**	**21,464**
Equity and liabilities			
Equity	12		
Share capital		152	152
Share premium		15,786	15,786
Other reserves		2,687	2,689
Currency translation reserve		(10,229)	(10,613)
Retained earnings		3,567	3,002
Total equity		**11,963**	**11,016**
Non-current liabilities			
Loans and borrowings	13	3,803	5,900
Provisions	14	252	269
Deferred tax liabilities		452	405
Other non-current liabilities		158	155
Total non-current liabilities		**4,665**	**6,729**
Current liabilities			
Loans and borrowings	13	3,887	1,966
Trade and other payables	11(c)	1,135	1,183
Advances received	11(d)	109	218
Other tax payable		158	233
Dividends payable		5	5
Provisions	14	110	114
Total current liabilities		**5,404**	**3,719**
Total liabilities		**10,069**	**10,448**
Total equity and liabilities		**22,032**	**21,464**
Net current assets		**2,295**	**4,223**
Total assets less current liabilities		**16,628**	**17,745**

Preliminary reviewed, approved and authorised for issue by the board of directors on 28 August 2024.

Evgenii V. Nikitin
General Director

Alexander V. Popov
Chief Financial Officer

The Consolidated Interim Condensed Statement of Financial Position is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 28.

	Share capital USD million	Share premium USD million	Other reserves USD million	Currency translation reserve USD million	Retained earnings USD million	Total equity USD million
Balance at 1 January 2024	**152**	**15,786**	**2,689**	**(10,613)**	**3,002**	**11,016**
Profit for the period (unaudited)	–	–	–	–	565	**565**
Other comprehensive income for the period (unaudited)	–	–	(2)	384	–	**382**
Total comprehensive income for the period (unaudited)	**–**	**–**	**(2)**	**384**	**565**	**947**
Contribution from a shareholder (unaudited)	–	–	–	–	–	**–**
Balance at 30 June 2024 (unaudited)	**152**	**15,786**	**2,687**	**(10,229)**	**3,567**	**11,963**
Balance at 1 January 2023	**152**	**15,786**	**2,682**	**(9,033)**	**2,720**	**12,307**
Profit for the period (unaudited)	–	–	–	–	420	**420**
Other comprehensive income for the period (unaudited)	–	–	(5)	(1,447)	–	**(1,452)**
Total comprehensive income for the period (unaudited)	**–**	**–**	**(5)**	**(1,447)**	**420**	**(1,032)**
Contribution from a shareholder (unaudited)	–	–	2	–	–	**2**
Balance at 30 June 2023 (unaudited)	**152**	**15,786**	**2,679**	**(10,480)**	**3,140**	**11,277**

The Consolidated Interim Condensed Statement of Changes in Equity is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 28.

	Note	Six months ended 30 June 2024 (unaudited) USD million	Six months ended 30 June 2023 (unaudited) USD million
Operating activities			
Profit for the period		**565**	**420**
Adjustments for:			
Depreciation	6	237	242
Amortisation	6	12	9
Impairment of non-current assets	6(b)	96	67
Accrual/(reversal) of provision for expected credit losses of trade and other receivables	6(b), 14	10	(5)
Partial reversal of write-down of inventories to net realisable value		(9)	(9)
Pension provision		1	2
Provision for legal claims		–	2
Change in fair value of derivative financial instruments	7	(41)	40
Net foreign exchange gain	7	(139)	(214)
Loss on disposal of property, plant and equipment	6(b)	1	5
Interest expense	7	169	218
Interest income	7	(62)	(30)
Income tax expense/(credit)	8	164	(151)
Dividends from investments measured at fair value through profit or loss	7	–	(25)
Revaluation of investments measured at fair value through profit or loss, incl. forex income	7	7	12
Share of profits of associates and joint ventures	10	(223)	(303)
Cash from operating activities before changes in working capital and provisions		**788**	**280**
(Increase)/decrease in inventories		(230)	156
(Increase)/decrease in trade and other receivables		(663)	356
Increase in prepayments and input VAT		–	(3)
Decrease in trade and other payables and advances received		(235)	(527)
Decrease in provisions		(2)	(8)
Cash (used in)/generated from operations before income tax paid		**(342)**	**254**
Income taxes paid		(61)	(18)
Net cash (used in)/generated from operating activities		**(403)**	**236**
Investing activities			
Proceeds from disposal of property, plant and equipment		6	5
Interest received		67	29
Acquisition of property, plant and equipment		(504)	(410)
Acquisition of intangible assets		(12)	(7)
Cash paid for investments in equity securities measured at fair value through profit or loss	11(f)	–	(5)
Cash received from/(paid to) other investments		47	(11)
Acquisition of a joint venture	10	(251)	–
Dividends from associates and joint ventures		416	–
Change in restricted cash		(1)	1
Net cash used in investing activities		**(232)**	**(398)**
Financing activities			
Proceeds from borrowings		537	2,828
Repayment of borrowings		(473)	(4,106)
Interest paid		(184)	(242)
Payment of restructuring and other expenses		(4)	(21)
Received from shareholder		–	2
Settlement of derivative financial instruments		20	96
Net cash used in financing activities		**(104)**	**(1,443)**
Net decrease in cash and cash equivalents		**(739)**	**(1,605)**
Cash and cash equivalents at the beginning of the period		2,085	3,193
Effect of exchange rate changes on cash and cash equivalents		(24)	(103)
Cash and cash equivalents at the end of the period		**1,322**	**1,485**

Restricted cash amounted to USD 3 million and USD 2 million at 30 June 2024 and 31 December 2023, respectively.

The Consolidated Interim Condensed Statement of Cash Flows is to be read in conjunction with the notes to, and forming part of, the Consolidated Interim Condensed Financial Statements set out on pages 10 to 28.

1. Background

(a) Organisation

United Company RUSAL, international public joint-stock company (United Company RUSAL Plc prior to 25 September 2020) ("UC RUSAL IPJSC", the "Company" or "UC RUSAL") was established by the controlling shareholder of RUSAL Limited ("RUSAL") as a limited liability company under the laws of Jersey on 26 October 2006. On 27 January 2010, the Company successfully completed a placing on the Main Board of The Stock Exchange of Hong Kong Limited ("Hong Kong Stock Exchange") and changed its legal form from a limited liability company to a public limited company.

On 23 March 2015, the shares of the Company were admitted to listing on PJSC Moscow Exchange MICEX-RTS ("Moscow Exchange") in the First Level quotation list. The trading of shares on Moscow Exchange commenced on 30 March 2015. There was no issue of new shares.

The extraordinary general meeting of the Company held on 1 August 2019 approved the application by the Company to the regulatory authorities in Russia for continuance as a company with the status of an International Company established under the laws of Russia (the "Redomiciliation"). On 25 September 2020 UC RUSAL changed its domicile to the Russian Federation as UC RUSAL IPJSC.

The Company's registered office is Oktyabrskaya st. 8, office 410, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

The Company directly or through its wholly owned subsidiaries controls a number of production and trading entities engaged in the aluminium business and other entities, which together with the Company are referred to as "the Group".

The shareholding structure of the Company as at 30 June 2024 and 31 December 2023 was as follows:

	30 June 2024	31 December 2023
EN+ GROUP IPJSC ("EN+", former En+ Group Plc)	56.88%	56.88%
SUAL PARTNERS ILLC ("SUAL PARTNERS", formerly SUAL Partners Limited)	25.52%	25.52%
Mr. Oleg V. Deripaska	0.01%	0.01%
Publicly held	17.59%	17.59%
Total	**100.00%**	**100.00%**

At 30 June 2024 and 31 December 2023, the immediate parent of the Group was EN+ GROUP International public joint-stock company (EN+GROUP IPJSC) with the registered office at Oktyabrskaya st. 8, office 34, Kaliningrad, Kaliningrad Region, 236006, Russian Federation.

Based on the information provided by EN+, at the reporting date there is no individual that has an indirect prevailing ownership interest in EN+ GROUP IPJSC exceeding 50%, who could exercise voting rights in respect of more than 35% of EN+ GROUP IPJSC's issued share capital or has an opportunity to exercise control over EN+ GROUP IPJSC. As at 30 June 2024 and 31 December 2023, Mr. Oleg Deripaska beneficially controls and exercises voting rights in respect of 35% of the voting shares of EN+ GROUP IPJSC and cannot exceed his direct or indirect shareholding over 44.95% of the shares of the EN+ GROUP IPJSC.

Related party transactions are disclosed in Note 17.

The consolidated financial statements of the Group as at and for the year ended 31 December 2023 are available at the Company's website www.rusal.com.

(b) Seasonality

There are no material seasonal events in business activity of the Group.

(c) Operations

The Group operates in the aluminium industry primarily in the Russian Federation, Guinea, Jamaica, Ireland, Italy and Sweden and is principally engaged in the mining and refining of bauxite and nepheline ore into alumina, the smelting of primary aluminium from alumina and the fabrication of aluminium and aluminium alloys into semi-fabricated and finished products. The Group sells its products primarily in Europe, Russia, other countries of the Commonwealth of Independent States ("CIS"), Asia and North America.

(d) Business environment in emerging economies

The Russian Federation, Jamaica and Guinea have been experiencing political and economic changes that have affected, and may continue to affect, the activities of enterprises operating in these environments. Consequently, operations in these countries involve risks that typically do not exist in other markets, including reconsideration of privatisation terms in certain countries where the Group operates following changes in governing political powers.

The imposition of economic sanctions on Russian individuals and legal entities by the European Union, the United States of America, Japan, Canada, Australia and others, as well as counter sanctions imposed by the Russian government, have resulted in increased economic uncertainty including more volatile equity, commodity and currency markets. The longer term effects of implemented sanctions, as well as the threat of additional future sanctions, are difficult to determine.

The consolidated interim condensed financial statements reflect management's assessment of the impact of the Russian, Jamaican and Guinean business environments on the operations and the financial position of the Group. The future business environment may differ from management's assessment.

(e) OFAC Sanctions

On 6 April 2018, the U.S. Department of the Treasury's Office of Foreign Assets Control ("OFAC") designated, amongst others, the Company, as a Specially Designated National ("SDN") (the "OFAC Sanctions").

As a result, all property or interests in property of the Company and its subsidiaries located in the United States or in the possession of U.S. Persons were blocked, must have been frozen, and could not be transferred, paid, exported, withdrawn, or otherwise dealt in. Several general licenses were issued at the time of the designation and later on authorizing certain transactions with the Company, its majority shareholder EN+GROUP IPJSC ("EN+", former En+ Group Plc "En+"), and with their respective debt and equity.

On 27 January 2019, OFAC announced removal of the Company and En+ from OFAC's SDN List with immediate effect. The removal was subject to and conditional upon the satisfaction of a number of conditions including, but not limited to, corporate governance changes, including, inter alia, overhauling the composition of the Board to ensure that independent directors constitute the majority of the Board, stepping down of the Chairman of the Board, and ongoing reporting and certifications by the Company to OFAC concerning compliance with the conditions for removal.

(f) Going concern

These consolidated interim condensed financial statements have been prepared assuming that the Group will continue as a going concern. Accordingly, these statements do not include any adjustments relating to the recoverability and classification of recorded asset amounts, the amounts and classification of liabilities or any other adjustments that might result from the Group being unable to continue as a going concern.

Ban of Australian government for the export of alumina and bauxite to Russia introduced in March 2022 and stoppage of production at Nikolaev Alumina Refinery Company Ltd due to developments in Ukraine starting from 1 March 2022 influenced the availability of alumina and bauxite or increase the purchase prices for the Group. Difficulties with logistics caused the Group to rebuild the supply and sales chains and lead to additional logistics costs. If the situation in Ukraine and overall geopolitical tension persists or continues to develop significantly, including the loss of significant parts of foreign markets, which cannot be reallocated to new markets, it may affect the Group's business, financial condition, prospects and results of operations.

Potentially the Group may have difficulties with equipment deliveries that may postpone realization of some investment projects and modernization programs for existing production facilities.

The facts described above, as well as the volatility of commodity markets, stock, currency markets and interest rates, create material uncertainty in the Group's ability to meet its financial obligations on time and continue as a going concern entity. Management constantly evaluates the current situation and prepares forecasts taking into account different scenarios of the events and conditions development. The Group's management expects that prices on the world commodity markets will grow and improve the results of operating activities. The Group is also revising supply and sales chains, ensuring an optimal equity and debt ratio, searching for resolutions of logistic difficulties, as well as the ways to service its obligations in order to adapt the current economic changes to maintain the continuance of the Group's operations.

2. Basis of preparation

(a) Statement of compliance

These consolidated interim condensed financial statements for the six months ended 30 June 2024 have been prepared in accordance with IAS 34 *Interim Financial Reporting*, which was endorsed on the territory of Russian Federation and the disclosure requirements of the Hong Kong Companies Ordinance.

These consolidated interim condensed financial statements do not include all of the information required for full annual financial statements prepared in accordance with International Financial Reporting Standards and therefore should be read in conjunction with the consolidated financial statements of the Group as at and for the year ended 31 December 2023.

3. Significant accounting policies

The accounting policies adopted in the preparation of the consolidated interim condensed financial statements are consistent with those followed in the preparation of the Group's annual consolidated financial statements for the year ended 31 December 2023, except for the adoption of amendments to the existing standards effective as of 1 January 2024:

- *Amendments to IAS 1 Presentation of Financial Statements named Classification of Liabilities as Current or Non-current*. The amendments clarify requirements for classifying liabilities as current or non-current;
- *Amendments to IFRS 16 Leases Related to Lease Liability in a Sale and Leaseback*. The amendments require from the seller-lessee to measure lease liability arising from leaseback in such a way, that no profit or loss is recognised in respect of the right-of-use retained;
- *Amendments to IAS 1 Presentation of Financial Statements named Non-current Liabilities with Covenants.* The amendments presume that liability is classified as non-current if the company has a substantial right to defer settlement for at least 12 months after the reporting date. The amendments clarify the criteria of classification (included that "future" covenants as well as management intentions do not affect classification as of the reporting date) and require certain additional disclosures;
- *Amendments to IAS 7 Statement of Cash Flows and IFRS 7 Financial Instruments: Disclosures named Supplier Finance Arrangements*. The amendments clarify the influence of supplier finance arrangements on liabilities, cash flows, exposure to liquidity risk and risk management. Also the amendments presume certain additional disclosures.

The amendments mentioned above did not have a significant impact on the consolidated interim condensed financial statements.

4. Segment reporting

(a) Reportable segments

The Group has four reportable segments, as described below, which are the Group's strategic business units. These business units are managed separately and the results of their operations are reviewed by the CEO on a regular basis.

Aluminium. The Aluminium segment is involved in the production and sale of primary aluminium and related products.

Alumina. The Alumina segment is involved in the mining and refining of bauxite into alumina and the sale of alumina.

Energy. The Energy segment includes the Group companies and projects engaged in the mining and sale of coal and the generation and transmission of electricity produced from various sources. Where the generating facility is solely a part of an alumina or aluminium production facility it is included in the respective reportable segment.

Mining and Metals. The Mining and Metals segment includes the equity investment in PJSC MMC Norilsk Nickel ("Norilsk Nickel").

Other operations include manufacturing of semi-finished products from primary aluminium for the transportation, packaging, building and construction, consumer goods and technology industries; and the activities of the Group's administrative centres. None of these segments meet any of the quantitative thresholds for determining reportable segments.

The Aluminium and Alumina segments are vertically integrated whereby the Alumina segment supplies alumina to the Aluminium segment for further refining and smelting with limited sales of alumina outside the Group. Integration between the Aluminium, Alumina and Energy segments also includes shared servicing and distribution.

(b) Segment results, assets and liabilities

For the purposes of assessing segment performance and allocating resources between segments, the Group's senior executive management monitors the results, assets and liabilities attributable to each reportable segment on the following bases:

Segment assets include all tangible, intangible assets and current assets with the exception of income tax assets and corporate assets. Segment liabilities include trade and other payables attributable to the production and sales activities of the individual segments. Loans and borrowings are not allocated to individual segments as they are centrally managed by the head office.

Revenue and expenses are allocated to the reportable segments with reference to sales generated by those segments and the expenses incurred by those segments or which otherwise arise from the depreciation or amortisation of assets attributable to those segments excluding impairment.

The measure used for reporting segment results is the profit before income tax adjusted for items not specifically attributed to individual segments, such as finance income, costs of loans and borrowings and other head office or corporate administration costs. The segment profit or loss is included in the internal management reports that are reviewed by the Group's CEO. Segment profit or loss is used to measure performance as management believes that such information is the most relevant in evaluating the results of certain segments relative to other entities that operate within these industries.

In addition to receiving segment information concerning segment results, management is provided with segment information concerning revenue (including inter-segment revenue), the carrying value of investments and share of profits/(losses) of associates and joint ventures, depreciation, amortisation, impairment and additions of non-current segment assets used by the segments in their operations. Inter-segment pricing is determined on a consistent basis using market benchmarks.

Segment capital expenditure is the total cost incurred during the reporting period to acquire property, plant and equipment and investment property and intangible assets other than goodwill.

The Group acquired property, plant and equipment in the total amount of USD 562 million for the six months ended 30 June 2024 (USD 437 million for the six months ended 30 June 2023). The carrying amount of property, plant and equipment disposed during the six months ended 30 June 2024 comprised USD 43 million (USD 332 million for the six months ended 30 June 2023).

(i) Reportable segments

Six months ended 30 June 2024

	Aluminium USD million	Alumina USD million	Energy USD million	Mining and Metals USD million	Total USD million
Revenue from external customers	4,742	552	–	–	**5,294**
Inter-segment revenue	140	1,799	–	–	**1,939**
Total segment revenue	**4,882**	**2,351**	**–**	**–**	**7,233**
Segment EBITDA	**689**	**201**	**–**	**–**	**890**
Depreciation/amortisation	(175)	(45)	–	–	**(220)**
Share of profits of associates and joint ventures	–	–	49	174	**223**
Segment profit	**514**	**156**	**49**	**174**	**893**
(Impairment)/reversal of impairment of non-current assets	(14)	(81)	–	–	**(95)**
Non-cash income/(expense)	2	2	–	–	**4**
Capital expenditure	(343)	(136)	–	–	**(479)**
Non-cash adjustments to non-current segment assets related to site restoration	(1)	25	–	–	**24**

Six months ended 30 June 2023

	Aluminium USD million	Alumina USD million	Energy USD million	Mining and Metals USD million	Total USD million
Revenue from external customers	4,958	546	–	–	**5,504**
Inter-segment revenue	161	1,837	–	–	**1,998**
Total segment revenue	**5,119**	**2,383**	**–**	**–**	**7,502**
Segment EBITDA	**322**	**36**	**–**	**–**	**358**
Depreciation/amortisation	(181)	(56)	–	–	**(237)**
Share of profits of associates and joint ventures	–	–	91	212	**303**
Segment profit	**141**	**(20)**	**91**	**212**	**424**
(Impairment)/reversal of impairment of non-current assets	5	(57)	–	–	**(52)**
Non-cash income/(expense)	1	13	–	–	**14**
Capital expenditure	(267)	(95)	–	–	**(362)**
Non-cash adjustments to non-current segment assets related to site restoration	(2)	(3)	–	–	**(5)**

At 30 June 2024

	Aluminium	Alumina	Energy	Mining and Metals	Total reportable segments
	USD million	USD million	USD million	USD million	USD million
Segment assets	9,394	2,094	–	–	**11,488**
Interests in associates and joint ventures	–	264	928	4,002	**5,194**
Total segment assets	**9,394**	**2,358**	**928**	**4,002**	**16,682**
Segment liabilities	(689)	(542)	(18)	–	**(1,249)**
Total segment liabilities	**(689)**	**(542)**	**(18)**	**–**	**(1,249)**

At 31 December 2023

	Aluminium	Alumina	Energy	Mining and Metals	Total reportable segments
	USD million	USD million	USD million	USD million	USD million
Segment assets	8,984	2,085	–	–	**11,069**
Interests in associates and joint ventures	–	–	850	3,670	**4,520**
Total segment assets	**8,984**	**2,085**	**850**	**3,670**	**15,589**
Segment liabilities	(952)	(603)	(17)	–	**(1,572)**
Total segment liabilities	**(952)**	**(603)**	**(17)**	**–**	**(1,572)**

(ii) Reconciliation of reportable segment revenue, profit or loss, assets and liabilities

	Six months ended 30 June	
	2024	2023
	USD million	USD million
Revenue		
Reportable segments' revenue	7,233	7,502
Elimination of inter-segment revenue	(1,939)	(1,998)
Unallocated revenue	401	441
Consolidated revenue	**5,695**	**5,945**

	Six months ended 30 June	
	2024	2023
	USD million	USD million
Profit		
Reportable segments' profit	893	424
Impairment of non-current assets	(96)	(67)
Loss on disposal of property, plant and equipment	(1)	(5)
Finance income	242	269
Finance expenses	(176)	(270)
Unallocated expense	(133)	(82)
Consolidated profit before taxation	**729**	**269**

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Adjusted EBITDA		
Reportable segments EBITDA	890	358
Unallocated depreciation	29	14
Unallocated expenses	(133)	(82)
Consolidated adjusted EBITDA	**786**	**290**

	30 June 2024	**31 December 2023**
	USD million	**USD million**
Assets		
Reportable segment assets	16,682	15,589
Unallocated assets	5,350	5,875
Consolidated total assets	**22,032**	**21,464**

	30 June 2024	**31 December 2023**
	USD million	**USD million**
Liabilities		
Reportable segment liabilities	(1,249)	(1,572)
Unallocated liabilities	(8,820)	(8,876)
Consolidated total liabilities	**(10,069)**	**(10,448)**

5. Revenue

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Revenue from contracts with customers	**5,695**	**5,945**
Sales of products	**5,564**	**5,798**
Sales of primary aluminium and alloys	4,597	4,839
Sales of alumina and bauxite	330	286
Sales of foil and other aluminium products	286	279
Sales of other products	351	394
Provision of services	**131**	**147**
Supply of energy	89	110
Provision of transportation services	13	11
Provision of other services	29	26
Total revenue by types of customers	**5,695**	**5,945**
Third parties	5,272	5,489
Related parties – companies capable of exerting significant influence	109	146
Related parties – companies related through parent company	99	106
Related parties – associates and joint ventures	215	204
Total revenue by primary regions	**5,695**	**5,945**
Europe	1,258	1,870
CIS	1,956	1,968
America	72	95
Asia	2,371	1,978
Other	38	34

Revenue from sale of primary aluminium and alloys relates to aluminium segment (Note 4). Revenue from sales of alumina and bauxite relates to alumina segment. Revenue from sale of foil and other aluminium products and other products and services relates mostly to the revenue of non-reportable segments.

6. Cost of sales and operating expenses

(a) Cost of sales

	Six months ended 30 June	
	2024	2023
	USD million	USD million
Cost of alumina, bauxite and other materials	**(2,288)**	**(2,648)**
Third parties	(2,138)	(2,625)
Related parties – companies capable of exerting significant influence	(34)	(17)
Related parties – companies related through parent company	(3)	(6)
Related parties – associates and joint ventures	(113)	–
Purchases of primary aluminium	**(267)**	**(388)**
Third parties	(76)	(111)
Related parties – associates and joint ventures	(191)	(277)
Energy costs	**(1,107)**	**(1,298)**
Third parties	(632)	(726)
Related parties – companies capable of exerting significant influence	(22)	(25)
Related parties – companies related through parent company	(435)	(525)
Related parties – associates and joint ventures	(18)	(22)
Personnel costs	**(345)**	**(329)**
Depreciation and amortisation	**(234)**	**(237)**
Change in finished goods	**188**	**41**
Other costs	**(332)**	**(358)**
Third parties	(329)	(349)
Related parties – companies related through parent company	(3)	(9)
	(4,385)	**(5,217)**

(b) Distribution, administrative and other operating expenses, provisions for expected credit losses and impairment of non-current assets

	Six months ended 30 June	
	2024	2023
	USD million	USD million
Transportation expenses	(260)	(282)
Personnel costs	(132)	(135)
Impairment of non-current assets	(96)	(67)
Consulting and legal expenses	(41)	(33)
Packaging materials	(36)	(27)
Charitable donations	(32)	(23)
Security	(27)	(25)
Taxes other than on income	(24)	(24)
Customs duties	(21)	(15)
Depreciation and amortisation	(15)	(14)
Repair and other services	(15)	(13)
Expected credit losses	(10)	5
Short-term lease and variable lease payments	(4)	(3)
Auditors' remuneration	(2)	(2)
Loss on disposal of property, plant and equipment	(1)	(5)
Provision for legal claims	–	(2)
Other expenses	(154)	(96)
	(870)	**(761)**

(c) EBITDA and operating effectiveness measures

Adjusted EBITDA is the key non-IFRS financial measure used by the Group as reference for assessing operating effectiveness.

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Results from operating activities	440	(33)
Add:		
Amortisation and depreciation	249	251
Impairment of non-current assets	96	67
Loss on disposal of property, plant and equipment	1	5
Adjusted EBITDA	**786**	**290**

7. Finance income and expenses

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Finance income		
Interest income on third party loans and deposits	62	30
Dividends from other investments	–	25
Net foreign exchange gain	139	214
Change in fair value of derivative financial instruments (Note 15)	41	–
	242	**269**
Finance expenses		
Interest expense on bank loans,bonds and other bank charges	(160)	(210)
Change in fair value of derivative financial instruments (Note 15)	–	(40)
Interest expense on provisions	(7)	(7)
Revaluation of investments measured at fair value through profit and loss, incl. forex income	(7)	(12)
Leases interest costs	(2)	(1)
	(176)	**(270)**

8. Income tax

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Current tax		
Current tax for the period	63	134
Deferred tax		
Origination and reversal of temporary differences	101	(285)
Income tax expense/(credit)	**164**	**(151)**

The Company is considered a Russian tax resident with an applicable corporate tax rate of 20%, for dividend income of the Company tax rate is 0%. Subsidiaries pay income taxes in accordance with the legislative requirements of their respective tax jurisdictions. For subsidiaries domiciled in Russia, the applicable tax rate is 20%; Guinea of 0% to 35%; China of 25%; Kazakhstan of 20%; Australia of 30%; Jamaica of 25%; Ireland of 12.5%; Sweden of 20.6% and Italy of 27.9%, Qatar of 0%, Switzerland of 9.08% and 11.85% and United Arab Emirates of 0% to 9%. For the Group’s significant trading companies, the applicable tax rates range from 0% to 25%. The applicable tax rates for the period ended 30 June 2023 were the same as for the period ended 30 June 2024 except for tax rates for subsidiaries domiciled in Switzerland which amounted to 9.06% and 11.8% accordingly. The applicable tax rates for the year ended 31 December 2023 were the same as for the period ended 30 June 2024 except for tax rates for subsidiaries domiciled in Switzerland which amounted to 9.07% and 11.82% accordingly.

Management continues to monitor and evaluate the domestic implementation by relevant countries of the Organisation for Economic Co-operation and Development's (OECD) Pillar Two which seeks to apply a 15% global minimum tax. In order to be implemented, the Pillar Two rules must be adopted at the national tax legislation level of each respective country. Management estimates the exposure to additional taxation under Pillar Two as of the date of authorization of these consolidated interim condensed financial statements for issue as immaterial for the Group. The Group applies the IAS 12 *Income Tax* temporary mandatory exception from deferred tax accounting for Pillar Two.

9. Earnings per share

The calculation of basic earnings per share is based on profit attributable to ordinary equity shareholders for the six-months periods ended 30 June 2024 and 30 June 2023.

Weighted average number of shares:

	Six months ended 30 June	
	2024	**2023**
Issued ordinary shares at beginning of the period	15,193,014,862	15,193,014,862
Effect of treasury shares	–	–
Weighted average number of shares at end of the period	**15,193,014,862**	**15,193,014,862**
Profit for the period, USD million	565	420
Basic and diluted earnings per share, USD	0.0372	0.0276

There were no outstanding dilutive instruments during the periods ended 30 June 2024 and 30 June 2023.

No dividends were declared and paid during the periods presented.

10. Interests in associates and joint ventures

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Balance at the beginning of the period	**4,521**	**5,174**
Acquisition of Hebei Wenfeng New Materials Co., Ltd	264	–
Group's share of profits	223	303
Dividends	–	–
Foreign currency translation	187	(910)
Balance at the end of the period	**5,195**	**4,567**
Goodwill included in interests in associates and joint ventures	2,053	2,029

Investment in Norilsk Nickel

The Group's share of profit of Norilsk Nickel was USD 174 million, the foreign currency translation gain of USD 158 million for the six months ended 30 June 2024. The carrying value of the Group's investment in the investee comprises USD 4,002 million as at 30 June 2024.

The fair value of the investment in Norilsk Nickel as at 30 June 2024 was USD 6,132 million (31 December 2023: USD 7,273 million). The fair value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

Investment in Hebei Wenfeng New Materials Co., Ltd

In October 2023 the Group entered into a share-purchase agreement to acquire 30% interest in the share capital of Hebei Wenfeng New Materials Co., Ltd. – the alumina production plant, located in China. All rights attached to the interest acquired were transferred to the Group in April 2024, therefore the Group recognized the investment in its consolidated interim condensed financial statements for the six months ended 30 June 2024. The consideration paid comprised USD 264 million. As of the date of authorisation of these consolidated interim condensed financial statements for issue, the valuation process of the fair value of the Group's share in the investment's net assets as of the date of its acquisition was not finalised and may be retrospectively adjusted within the next twelve months after the transaction date.

Most significant decisions on relevant activities of the investment shall be made by resolution approved unanimously by all Board members or all shareholders. Accordingly, the Group concluded that it has joint control over the Hebei Wenfeng New Materials Co., Ltd. Based on analysis of the relevant facts the management of the Group concluded that, in substance, the arrangement gives the investors rights to the net assets of the arrangement. Therefore it has determined that the Group's investment in Hebei Wenfeng New Materials Co., Ltd. should be accounted for as a joint venture rather than a joint operation.

Simultaneously, the Group entered into several put and call option agreements with the seller of the investment with the aim to protect the Group's or the seller's interests in the investment. Mostly, exercise of these options are subject to occurrence of specific corporate events, which are not under the Group's control and are hard to predict. These options did not affect the classification of the investment as a joint venture.

11. Non-derivative financial and non-financial instruments

(a) Trade and other receivables

	30 June 2024	31 December 2023
	USD million	USD million
Trade receivables from third parties	1,234	927
Impairment loss on trade receivables	(70)	(68)
Net trade receivables from third parties	**1,164**	**859**
Trade receivables from related parties, including:	**218**	**116**
Related parties – companies capable of exerting significant influence	29	33
Related parties – companies related through parent company	54	76
Related parties – associates and joint ventures	135	7
Other receivables from third parties	205	180
Impairment loss on other receivables	(9)	(8)
Net other receivables from third parties	**196**	**172**
Other receivables from related parties, including:	**7**	**7**
Related parties – companies related through parent company	38	32
Impairment loss on other receivables from related parties – companies related through parent company	(31)	(25)
Net other receivables to related parties – companies related through parent company	**7**	**7**
	1,585	**1,154**

All of the trade and other receivables are expected to be settled within one year or are repayable on demand.

(i) Ageing analysis

Included in trade and other receivables are trade receivables (net of loss allowance for expected credit losses) with the following ageing analysis as of the reporting dates:

	30 June 2024	31 December 2023
	USD million	USD million
Current (not past due)	**1,142**	**880**
1-30 days past due	146	29
31-60 days past due	18	1
61-90 days past due	7	–
More than 90 days past due	69	65
Amounts past due	**240**	**95**
	1,382	**975**

Aging analysis is performed based on number of days receivable is overdue. Trade receivables are on average due within 60 days from the date of billing. The receivables that are neither past due nor impaired (i.e. current) relate to a wide range of customers for whom there was no recent history of default.

Receivables that were past due but not impaired relate to a number of customers that have a good track record with the Group. The Group does not hold any collateral over these balances.

(ii) Impairment of trade receivables

Impairment losses in respect of trade receivables are recorded using an allowance account unless the Group is satisfied that recovery of the amount is remote, in which case the impairment loss is written off against trade receivables directly.

The movement in the allowance for expected credit loss during the period is as follows:

	Six months ended 30 June	
	2024	2023
	USD million	USD million
Balance at the beginning of the period	**(68)**	**(75)**
Impairment loss recognized	(2)	(3)
Balance at the end of the period	**(70)**	**(78)**

(b) Prepayments and input VAT

	30 June 2024	31 December 2023
	USD million	USD million
VAT recoverable	388	352
Impairment loss on VAT recoverable	(41)	(39)
Net VAT recoverable	**347**	**313**
Advances paid to third parties	294	198
Impairment loss on advances paid	(8)	(9)
Net advances paid to third parties	**286**	**189**
Advances paid to related parties, including:	**82**	**1**
Related parties – companies capable of exerting significant influence	2	–
Related parties – companies related through parent company	1	1
Related parties – associates and joint ventures	166	87
Impairment loss on advances paid to related parties – associates and joint ventures	(87)	(87)
Net advances paid to related parties – associates and joint ventures	**79**	**–**
Prepaid expenses	**10**	**6**
Prepaid other taxes	**24**	**29**
	749	**538**

(c) Trade and other payables

	30 June 2024 USD million	31 December 2023 USD million
Accounts payable to third parties	**703**	**715**
Accounts payable to related parties, including:	**221**	**233**
Related parties – companies capable of exerting significant influence	4	7
Related parties – companies related through parent company	44	73
Related parties – associates and joint ventures	173	153
Other payables and accrued liabilities to third parties	**185**	**206**
Other payables and accrued liabilities to related parties, including:	**1**	**3**
Related parties – companies related through parent company	1	3
Current income tax liabilities	**25**	**26**
	1,135	**1,183**

All of the trade and other payables are expected to be settled within one year or are repayable on demand.

Included in trade and other payables are trade payables with the following ageing analysis as at the reporting date. Ageing analysis is performed based on number of days payable is overdue.

	30 June 2024 USD million	31 December 2023 USD million
Current	**800**	**820**
Past due 0-90 days	74	88
Past due 91-120 days	4	1
Past due over 120 days	46	39
Amounts past due	**124**	**128**
	924	**948**

Lease liabilities that are expected to be settled within one year for the amount of USD 15 million are included in other payables and accrued liabilities as at 30 June 2024 (31 December 2023: USD 19 million).

(d) Advances received

	30 June 2024 USD million	31 December 2023 USD million
Advances received	**108**	**217**
Advances received from related parties, including:	**1**	**1**
Related parties – companies related through parent company	1	1
	109	**218**

Advances received represent contract liabilities to perform obligations under contracts with customers. Advances received are short-term and revenue in respect of the contract liabilities recognized as at the reporting date is fully recognized during next twelve months.

(e) Other non-current assets

	30 June 2024 USD million	31 December 2023 USD million
Long-term deposits	121	121
Prepayment for acquisition of joint venture (Note 10)	–	13
Other non-current assets	111	143
	232	**277**

(f) Investments in equity securities measured at fair value through profit or loss

As at the 30 June 2024 the Group had an investment in RusHydro of 42,754,785,466 shares or effective 9.7% (nominal 9.6%). Investment is treated as equity securities measured at fair value through profit or loss.

Fair value is estimated in accordance with Level 1 of the fair value hierarchy. The market value was determined by multiplying the quoted bid price per share on the Moscow Exchange on reporting date by the number of shares held by the Group.

(g) Short-term investments

Primarily consist of short-term bank deposits and promissory notes of the company under common control.

(h) Fair value measurement

Management believes that the fair values of financial assets and liabilities approximate their carrying amounts.

12. Equity

(a) Share capital

	Six months ended 30 June 2024		Six months ended 30 June 2023	
	USD	Number of shares	USD	Number of shares
Ordinary shares at the end of the period, authorised	200 million	20 billion	200 million	20 billion
Ordinary shares at 1 January	151,930,148	15,193,014,862	151,930,148	15,193,014,862
Ordinary shares at the end of the period of USD 0.01 each, issued and paid	**151,930,148**	**15,193,014,862**	**151,930,148**	**15,193,014,862**

(b) Other reserves

Other reserves include the amounts related to: effect of transaction of reorganization under common control, cumulative unrealised actuarial gains and losses on the Group's defined post retirement benefit plans, the effective portion of the accumulative net change in fair value of cash flow hedges and the Group's share of other comprehensive income of associates.

(c) Distributions

Following Company's redomiciliation in September 2020 (Note 1(a)), the Company may distribute dividends from retained earnings and profit for the reporting period in compliance with the current legislation of the Russian Federation and the provisions of its Charter.

(d) Currency translation reserve

The currency translation reserve comprises all foreign exchange differences arising from the translation of the consolidated financial statements of foreign subsidiaries and equity accounted investees.

13. Loans and borrowings

This note provides information about the contractual terms of the Group's loans and borrowings.

	30 June 2024 USD million	31 December 2023 USD million
Non-current liabilities		
Secured bank loans	1,514	1,810
Unsecured bank loans	1,310	1,258
Bonds	979	2,832
	3,803	**5,900**
Current liabilities		
Secured bank loans	732	933
Unsecured bank loans	526	382
Bonds	2,592	615
Accrued interest	37	36
	3,887	**1,966**

(a) Loans and borrowings

As at 30 June 2024 and 31 December 2023, the secured bank loans are secured by certain pledges of shares of a number of Group subsidiaries, 25% + 1 share of Norilsk Nickel (Group's associate) and property, plant and equipment with a carrying amount of USD 3 million.

As at 30 June 2024, rights, including all monies and claims, arising out of certain sales contracts between the Group's trading subsidiaries and its ultimate customers, were assigned to secure the syndicated Pre-Export Finance Term Facility Agreements (PXFs) dated 25 October 2019.

The nominal value of the Group's loans and borrowings was USD 4,144 million as at 30 June 2024 (31 December 2023: USD 4,447 million).

As at 30 June 2024, the amount of accrued interest on unsecured bank loans and secured bank loans was USD 7 million and USD 5 million, respectively (31 December 2023: USD 6 million and USD 7 million, respectively).

(b) Bonds

As at 30 June 2024 the Group had outstanding (traded in the market) bonds nominated in roubles, Chinese yuan, United Arab Emirates Dirhams, eurobonds nominated in US dollars.

Type	Series	The number of bonds traded in the market	Nominal value, USD million	Nominal interest rate	Put-option date	Maturity date
Bond	BO-01	30,263	–	0.01%	–	07.04.2026
Bond	BO-001P-04	370,000	101	5.95%	–	05.09.2025
Eurobond	–	23,500	24	5.3%	–	03.05.2023
Eurobond	–	20,469	20	4.85%	–	01.02.2023
Bond	BO-05	2,000,000	270	3.90%	05.08.2024	28.07.2027
Bond	BO-06	2,000,000	270	3.90%	05.08.2024	28.07.2027
Bond	BO-001P-01	6,000,000	810	3.75%	–	24.04.2025
Bond	BO-001P-02	1,000,000	135	3.95%	–	23.12.2025
Bond	BO-001P-03	3,000,000	405	LPR1Y + 0.2%	–	24.12.2025
Bond	001PC-01	2,379,660	320	3.75%	–	07.03.2025
Bond	001PC-02	2,352,869	318	3.75%	–	07.03.2025
Bond	001PC-03	2,367,763	321	3.75%	–	07.03.2025
Bond	001PC-04	1,778,060	240	3.75%	–	07.03.2025
Bond	BO-001P-05	600,000	81	6.70%	–	08.05.2026
Bond	BO-001P-06	1,000,000	135	7.20%	–	05.08.2026
Bond	BO-001P-07	900,000	121	7.90%	–	09.10.2026

On 7 February 2024 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-06 in the total amount of CNY1,000 million with a coupon – 7.20%. The maturity of the bonds is 2.5 years.

On 12 April 2024 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-07 in the total amount of CNY900 million with a coupon – 7.90%. The maturity of the bonds is 2.5 years.

As at 30 June 2024, the amount of accrued interest on bonds was USD 25 million (31 December 2023: USD 23 million).

14. Provisions

USD million	Pension liabilities	Site restoration	Provisions for legal claims	Total
Balance at 1 January 2023	**60**	**331**	**12**	**403**
Provisions made during the period	5	–	2	**7**
Provisions reversed during the period	(5)	–	–	**(5)**
Actuarial loss	5	–	–	**5**
Provisions utilised during the period	(2)	–	(2)	**(4)**
Foreign currency translation	(9)	(32)	–	**(41)**
The effect of the passage of time	–	5	–	**5**
Change in inflation rate	–	7	–	**7**
Discount rate change	–	1	–	**1**
Balance at 30 June 2023	**54**	**312**	**12**	**378**
Non-current	49	212	–	**261**
Current	5	100	12	**117**
Balance at 1 January 2024	**47**	**324**	**12**	**383**
Provisions made during the period	4	–	–	**4**
Provisions reversed during the period	–	–	–	**–**
Actuarial loss	2	–	–	**2**
Provisions utilised during the period	(2)	–	–	**(2)**
Foreign currency translation	1	(9)	–	**(8)**
The effect of the passage of time	–	4	–	**4**
Change in inflation rate	–	4	–	**4**
Discount rate change	–	(25)	–	**(25)**
Balance at 30 June 2024	**52**	**298**	**12**	**362**
Non-current	49	203	–	**252**
Current	3	95	12	**110**

15. Derivative financial assets/liabilities

	30 June 2024 USD million		31 December 2023 USD million	
	Derivative assets	**Derivative liabilities**	**Derivative assets**	**Derivative liabilities**
Cross-currency swaps	17	–	–	–
Forward contracts for aluminium and other instruments	47	–	32	–
Total	**64**	**–**	**32**	**–**
Non-current	4	–	13	–
Current	60	–	19	–

Derivative financial instruments are recorded at their fair value at each reporting date. Fair value is estimated in accordance with Level 3 of the fair value hierarchy based on management estimates and consensus economic forecasts of relevant future prices, net of valuation allowances to accommodate liquidity, modelling and other risks implicit in such estimates. The Group's policy is to recognise transfers between levels of fair value hierarchy as at the date of the event or change in circumstances that caused the transfer. There were no changes in valuation techniques during six-month period ended 30 June 2024.

The movement in the balance of Level 3 fair value measurements of derivatives is as follows:

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Balance at the beginning of the period	**32**	**168**
Unrealised changes in fair value recognised in the consolidated interim condensed statement of income (finance income/(expense)) during the period	41	(40)
Realised portion of metals, electricity and cross currency swaps	(9)	(36)
Balance at the end of the period	**64**	**92**

Sensitivity analysis showed that derivative financial instruments are not particularly sensitive to changes in main inputs.

16. Commitments and contingencies

(a) Capital commitments

The Group has entered into contracts that result in contractual obligations primarily relating to various construction and capital repair works. The commitments as at 30 June 2024 and 31 December 2023 were approximately USD 867 million and USD 562 million, including VAT, respectively. These commitments are due over a number of years.

(b) Taxation

Russian tax, currency and customs legislation is subject to varying interpretations, and changes, which can occur frequently. Management's interpretation of such legislation as applied to the transactions and activities of the Group may be challenged by the relevant local, regional and federal authorities. Notably recent developments in the Russian environment suggest that the authorities in that country are becoming more active in seeking to enforce, through the Russian court system, interpretations of the tax legislation, in particular in relation to the use of certain commercial trading structures, which may be selective for particular tax payers and different to the authorities' previous interpretations or practices. Different and selective interpretations of tax regulations by various government authorities and inconsistent enforcement create further uncertainties in the taxation environment in the Russian Federation.

(c) Environmental contingencies

The Group and its predecessor entities have operated in the Russian Federation, Jamaica, Guyana, the Republic of Guinea and the European Union for many years and certain environmental problems have developed. Governmental authorities are continually considering environmental regulations and their enforcement and the Group periodically evaluates its obligations related thereto. As obligations are determined, they are recognised immediately. The outcome of environmental liabilities under proposed or any future legislation, or as a result of stricter enforcement of existing legislation, cannot reasonably be estimated. Under current levels of enforcement of existing legislation, management believes there are no possible liabilities, which will have a material adverse effect on the financial position or the operating results of the Group. However, the Group anticipates undertaking significant capital projects to improve its future environmental performance and to bring it into full compliance with current legislation.

(d) Legal contingencies

The Group's business activities expose it to a variety of lawsuits and claims which are monitored, assessed and contested on the ongoing basis. Where management believes that a lawsuit or another claim would result in the outflow of the economic benefits for the Group, a best estimate of such outflow is included in provisions in the consolidated interim condensed financial statements (Note 14). As at 30 June 2024 the amount of claims, where management assesses outflow as possible approximates USD 25 million (31 December 2023: USD 25 million).

17. Related party transactions

(a) Transactions with management

Management remuneration

Key management received the following remuneration, which is included in personnel costs:

	Six months ended 30 June	
	2024	**2023**
	USD million	**USD million**
Salaries and bonuses	36	29
	36	**29**

(b) Transactions with associates and joint ventures

Sales to associates and joint ventures are disclosed in Note 5, purchases from associates and joint ventures are disclosed in Note 6, accounts receivable from associates and joint ventures as well as accounts payable to associates and joint ventures are disclosed in Note 11.

(c) Transactions with other related parties

The Group transacts with other related parties, the majority of which are companies related through parent company or under the control of SUAL Partners Limited or shareholders jointly controlling the entity.

Sales to related parties for the period are disclosed in Note 5, purchases from related parties are disclosed in Note 6, finance income and expenses with related parties are disclosed in Note 7, accounts receivable from related parties as well as accounts payable to related parties are disclosed in Note 11.

(d) Related parties balances

As at 30 June 2024, non-current liabilities include balances of related parties – associates and joint ventures of USD 17 million (31 December 2023: USD 17 million).

As at 30 June 2024, there are no other assets which would include the balances with related parties (31 December 2023: companies related through parent company of USD 49 million).

(e) Pricing policies

Prices for transactions with related parties are determined on a case by case basis but are not necessarily at arm's length.

The Group has entered into three categories of related-party transactions: (i) those entered into on an arm's length basis, (ii) those entered into on non-arm's length terms but as part of a wider deal resulting from arms' length negotiations with unrelated third parties, and (iii) transactions unique to the Group and the counterparty.

18. Events subsequent to the reporting date

On 12 July 2024, Federal Law No. 176-FZ *On Amendments to Parts One and Two of the Tax Code of the Russian Federation, Certain Legislative Acts of the Russian Federation and Invalidation of Certain Provisions of Legislative Acts of the Russian Federation* was adopted, providing for an increase in the income tax rate from 20% to 25%, effective from 1 January 2025.

The application of this law will result in changes to deferred tax assets and liabilities as well as deferred income tax expenses/credits. As of the date of authorisation of these consolidated interim condensed financial statements for issue, the Group has not completed an assessment of this impact. This legislative change will not affect the amount of current income tax for 2024.

On 2 July 2024 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-09 in the total amount of RUB 30,000 mln with a coupon rate linked to the Key rate of the Central Bank of Russia + spread at 2.20%. The maturity of the bonds is 3 years.

On 30 July 2024 the Company placed on the Moscow Stock Exchange exchange-traded non-documentary interest-bearing non-convertible bonds series BO-001P-08 in the total amount of USD 85 mln with a coupon rate set at 9.25% p.a. The maturity of the bonds is 3 years.

On 5 August 2024 the Company repurchased bonds series BO-05 nominated in Chinese yuan in the amount of CNY1.5 billion. The balance in the amount of CNY467,8 million is in the market, the coupon rate is 8.5%, maturity – 1 year.

On 5 August 2024 the Company repurchased bonds series BO-06 nominated in Chinese yuan in the amount of CNY1.8 billion. The balance in the amount of CNY117.9 million is in the market, the coupon rate is 8.5%, maturity – 1 year.

On 24 June 2024, the Group entered into a new credit facility with a Russian bank in the total amount up to RUR 50 billion (Note 13). Under this agreement the funds were drawdown in June and July 2024 for the general corporate purposes and scheduled debt repayments.